

Need an amazing tutor?

www.teachme2.com/matric



Collected and collated by

teachme2



basic education

Department:
Basic Education
REPUBLIC OF SOUTH AFRICA

SENIOR CERTIFICATE EXAMINATIONS/ NATIONAL SENIOR CERTIFICATE EXAMINATIONS

ACCOUNTING P2 MAY/JUNE 2024 MARKING GUIDELINES

MARKING PRINCIPLES:

MARKS: 150

1. Unless otherwise stated in the marking guidelines, penalties for foreign items are applied only if the candidate is not losing marks elsewhere in the question for that item (no penalty for misplaced item). No double penalty applied.
2. Penalties for placement or poor presentation (e.g. details) are applied only if the candidate is earning marks on the figures for that item.
3. Unless otherwise stated, give full marks for a correct answer. If answer is incorrect, mark workings.
4. If a pre-adjustment figure is shown as a final figure, allocate the part-mark as a working mark for that figure (not the method mark for the answer). Note: if figures are stipulated in the marking guidelines for components of workings, these do not carry the method mark for final answer as well.
5. Unless otherwise indicated, the positive or negative effect of any figure must be considered to award the mark. If no + or – sign or bracket is provided, assume that the figure is positive.
6. Where indicated, part-marks may be awarded to differentiate between differing qualities of answers from candidates.
7. If candidates provide more than the required number of responses, inspect all responses to give benefit to the candidate. Penalties may be applied for foreign entries if candidates earn full marks on a question (max -2 per Q).
8. These marking guidelines are not for public distribution as certain items might imply incorrect treatment. The adjustments made are due to nuances in certain questions.
9. Where penalties are applied, the marks for that section of the question cannot be a final negative.
10. Where method marks are awarded for an operation, the marker must inspect reasonableness of the answer.
11. 'Operation' means check operation. 'One part correct' means operation and one part correct. Note: check operation must be +, -, x, ÷ as per candidate's calculation (if valid) or per marking guidelines.
12. In calculations, do not award marks for workings if numerator & denominator are swapped – this also applies to ratios.
13. In awarding method marks, ensure that candidates do not get full marks for any item that is incorrect at least in part. Indicate with a ☒.
14. Be aware of candidates who provide valid alternatives beyond the marking guidelines. Note that one comment could contain different aspects.
15. Codes: f = foreign item; p = placement/presentation.

These marking guidelines consist of 12 pages.

1.1 BANK RECONCILIATION**1.1.1 Calculate the correct bank account balance on 31 May 2024.**

WORKINGS	ANSWER								
one mark one mark; both figures must be entered in CRJ & CPJ (5 480 – 4 580) 9 050 – 5 000 ✓✓ + 900 ✓✓ – 310 ✓ – 1 780 ✓ + 1 060 ✓ CRJ CPJ OR 9 050 + (900 + 1 060) – (5 000 + 310 + 1 780) 1 960 three marks 7 090 four marks OR Bank Account format <table border="1"> <tr> <td>9 050</td><td>5 000</td></tr> <tr> <td>900</td><td>310</td></tr> <tr> <td>1 060</td><td>1 780</td></tr> <tr> <td>Bal c/d 3 920</td><td></td></tr> </table> Be alert to alternative presentations for calculations	9 050	5 000	900	310	1 060	1 780	Bal c/d 3 920		3 920 ✓ one part correct ignore sign Inspect whether DR or CR for Recon (1.1.2)
9 050	5 000								
900	310								
1 060	1 780								
Bal c/d 3 920									

8

1.1.2 Bank Reconciliation Statement on 31 May 2024

	ONE-COLUMN METHOD	OR: ONE-COLUMN METHOD	DEBIT	CREDIT
Balance as per <u>bank statement</u> Do not accept R1 550 & R4 170	21 520	(21 520)	DR and CR totals must be the same	21 520 ✓* Could be Dr
Outstanding deposit	17 500	(17 500)		17 500 ✓
Error on statement	(25 000)	25 000	25 000 ✓	
Outstanding EFT No. 819	(11 880)	11 880	11 880 ✓	
Error on statement	1 780	(1 780)		1 780 ✓
Balance as per <u>bank account</u> Do not accept R4 170 & R1 550	3 920	(3 920)	3 920 ✓# See 1.1.1 Could be Cr	
			40 800	40 800

6

* balancing figure # check 1.1.1 to assess if candidate has calculated a favourable or overdraft balance
-1 Presentation (inappropriate / no details provided);
-1 foreign items / superfluous items, (only if mark/s are earned in 1.1.1 for the same figure) max -1
If candidate presents one-column & two-column reconciliation, mark version that benefits candidate

For the 2-Column method, candidates must place figures in the correct column to earn marks
For the 1-Column method, candidates must present the appropriate sign i.e. positive or negative

1.1.3 Explain TWO important instructions that Scot should give to Kiki to ensure that corruption does not occur with regards to the processing of EFTs.

Any TWO control measures ✓✓ ✓✓

part marks for incomplete or unclear response

Be alert to other valid answers

- Before processing EFTs, Kiki must check that the bank details and amounts due are correct by referring to appropriate documents and records of service providers / Bank confirmation letter to verify bank details.
- She must monitor the bank transaction records continuously provided on the business electronic statement.
- She must protect all the passwords and codes that are necessary for using the online application and computer system.
- Authorisation by supervisor: She must report daily to her supervisor (or Scot) on the daily transactions (especially for suspicious transactions).
- One Time Pin (OTP) must be authorised by the supervisor (or Scot) for processing all EFTs or for certain transactions or payments over a specific amount / Only assigned individuals are allowed to initiate, authorise and reconcile EFTs.
- Set daily limits on the banking app which can be altered by user if necessary.
- Regular check of all notifications on banking app to verify movements of cash.
- She must review and cross-reference banking app messages with the corresponding documents to confirm if payments requests are legitimate.

If an EFT is received e.g.

- If payer notifies business that payment has been made, then Kiki must check to the electronic bank statement before recording the receipt.

4

1.2 EXTRACT: LIST OF DEBTORS

DEBTORS	WORKINGS	BALANCE
A. Judy	27 750 – 9 000 ✓	18 750 ✓
B. Benior	(400) + 9 000 ✓	8 600 ✓
C. Oliver	one mark one mark 3 000 + 3 000 (2 400 x 25/75) OR (3 200 – 2 400) + 6 000 ✓✓ – 800 ✓✓ Do not mark R3 000 in the 2nd adjustment	24 500 ✓* *one part correct
D. Fiery	Both figures required 2 900 – 6 390 ✓✓ (or – 7 100 + 710)	(3 490) ✓ *operation

12

TOTAL MARKS

30

QUESTION 2**2.1.1 Calculate the VAT amount on the goods sold by the business.**

WORKINGS	ANSWER
$\begin{array}{l} [182\,000 \times 90\%] \text{ two marks} \quad \text{one mark} \quad \text{two marks} \\ (839\,800 \checkmark - 163\,800 \checkmark \checkmark) \times 15\% \quad \text{OR} \quad 125\,970 - 24\,570 \\ 676\,000 \text{ three marks} \end{array}$	101 400 ☒ one part correct if x15%

4

2.1.2 Calculate the amount payable to or receivable from SARS on 30 April 2024.

WORKINGS	ANSWER																
See 2.1.1 $- 5\,340 \checkmark - 82\,200 \checkmark + 101\,400 \checkmark \checkmark - 4\,110 \checkmark \checkmark + 4\,800 \checkmark$ (31 510 x 15/115) OR 5 340 + 82 200 – 101 400 + 4 110 – 4 800 OR VAT Control OR VAT Control <table border="1" style="display: inline-table; margin-right: 20px;"> <tr><td>5 340</td><td>101 400*</td></tr> <tr><td>82 200*</td><td>4 800*</td></tr> <tr><td>4 110*</td><td></td></tr> <tr><td>Bal c/d 14 550</td><td></td></tr> </table> <table border="1" style="display: inline-table;"> <tr><td>101 400*</td><td>5 340</td></tr> <tr><td>4 800*</td><td>82 200*</td></tr> <tr><td></td><td>4 110*</td></tr> <tr><td></td><td>Bal c/d 14 550</td></tr> </table> Mark one option only; inspect option that benefits the candidate. Be alert to alternative presentations for calculations. If no sign provided, assume the figure is positive. *Amounts may be in brackets in the opposite column (side).	5 340	101 400*	82 200*	4 800*	4 110*		Bal c/d 14 550		101 400*	5 340	4 800*	82 200*		4 110*		Bal c/d 14 550	14 550 ☒ one part correct
5 340	101 400*																
82 200*	4 800*																
4 110*																	
Bal c/d 14 550																	
101 400*	5 340																
4 800*	82 200*																
	4 110*																
	Bal c/d 14 550																

7

INVENTORY VALUATION**2.2 Calculate the expected cost price of one LITCHI phone in Rands per unit.**

WORKINGS	ANSWER
$\begin{array}{l} [\quad 5\,488 \text{ two marks} \quad] \\ [(\$280 \times R17,50) \checkmark \times 1,12 \checkmark] + (R303\,600 \checkmark \div 300 \checkmark) \\ 4\,900 \text{ one mark} \quad +588 \text{ one mark} \quad +1\,012 \text{ two marks} \end{array}$ OR $[(\\$280 \times 17,50 \times 300) \quad (1\,470\,000 \times 12\%)]$ $(1\,470\,000 \quad + \quad 176\,400 \quad + \quad R303\,600) \div 300$ one mark one mark one mark one mark OR 1 950 000 three marks 1 646 400 two marks one mark $[(\\$280 \times R17,50 \times 1,12) \times 300] + R303\,600$ 300 one mark	R6 500 ☒ one part correct

5

2.3 Calculate the total value of the closing stock of the CLEO and BRUMA phones on 29 February 2024, using the specific identification method.

MODEL	WORKINGS	ANSWER
CLEO	$\begin{array}{l} (270 + 2\,265 - 2\,180) \\ 355 \checkmark \checkmark \times R8\,000 \\ \text{OR} \\ 20\,280\,000 - 17\,440\,000 \end{array}$	2 840 000 ☒ If x 8 000
BRUMA	920 x R2 500	2 300 000 ☒ ☒ Accuracy marks only
TOTAL		5 140 000 ☒ *

6

2.4 Calculate the average stock turnover rate for the CLEO phone for 2024.

WORKINGS	ANSWER
$\frac{2\,160\,000 + 18\,120\,000 - 2\,840\,000}{24\,416\,000 \times 100/140 \text{ OR } 6\,976\,000 \times 100/40}$ if units are used: $\frac{2\,180}{\frac{1}{2}(270 + 355)}$ $\frac{17\,440\,000 \checkmark \checkmark}{\frac{1}{2}(2\,160\,000 \checkmark + 2\,840\,000 \checkmark) \text{ see 2.3}}$ 5 000 000 two marks 2 500 000 three marks	7 times ☒ one part correct; Accept 6,9 times

6

2.5 The directors took decisions to adjust the mark-up % on the CLEO and BRUMA phones for the 2024 financial year. Explain how these decisions impacted on the gross profit and cash flow of the company as well as on the stock turnover rates of each model.

Assume that points on gross profit, units sold or sales revenue will all have an impact on cash flow. Any one point per block is sufficient for 2 marks (explanation for one mark & figures for one mark). Mark each product globally i.e. do not simply repeat figures. Be alert to other responses or figures that are valid for each point.

	CLEO	BRUMA
Explanation on gross profit & cash flow	Explanation ✓ ✓ Figures ✓ ✓ Accept any TWO different points Do not accept mark-up - Gross profit increased (from R5 900 000) to R6 976 000 / by 18,2% / by R1 076 000 - Units sold increased from 1 475 to 2 180 / by 705 / 47,8% - Sales revenue increased (from R17 700 000) to R24 416 000 / by R6 716 000 / by 37,9% contributing to better cash flow.	Explanation ✓ ✓ Figures ✓ ✓ Accept any TWO different points Do not accept mark-up - Gross profit increased (from R2 540 000) to R3 027 500 / by R487 500 / 19% despite the higher mark-up % - Units sold dropped from 2 540 to 1 730 / 810 units / 33% - Sales decreased by R267 500 / from R7 620 000 to R7 352 500 / by 3,5%
Explanation on stock-turnover rates	- STR increased / improved (from 4,4) to 7 times see 2.4 - Customers prefer a better quality phone / On average 182 CLEO phones. are sold p.m. (increased from 123 in previous year) - Appropriate stock on hand 355 units or 2,5 months	- STR decreased / slower (from 10,2) to 3,1 times. - On average 144 BRUMA phones sold p.m. (declined from 212 in previous year) - High closing stock of 920 / overestimated demand and overstocked for 4 months

8

2.6

If the directors go ahead with the LITCHI phones and order a lot more in the future and sell it at a mark-up of 40% on cost, how could this impact on the sales of the CLEO and BRUMA phones. Explain, quoting figures to support your opinion.

Any valid explanation ✓✓ part marks for incomplete or unclear answer

Figure/s or calculations ✓✓

Be alert to other valid explanations

- This would place the selling price between the Cleo (R11 200) and the Bruma (R4 250); which could negatively affect the sales of both models (Cleo may drop due to a cheaper alternative; Bruma sales may drop due to a less expensive quality phone)
- The directors should be aware that they might lose out on the high gross profit earned on the Cleo models (R3 200) against (R2 600) [6 500 see 2.2 x 40%] on the Litchi.

[The expected selling price would be $R6\,500 \times 1,40 = R9\,100$] see 2.2

4

TOTAL MARKS	40
-------------	----

QUESTION 3**3.1**

3.1.1	B ✓ selling & distribution
3.1.2	D ✓ administration
3.1.3	A ✓ factory overheads

3

NARDO MANUFACTURERS**3.2 FACTORY OVERHEAD COST NOTE**

Incorrect amount calculated by bookkeeper	258 200
Water and electricity	+ 28 800 ✓✓ Accuracy marks
Rent expense –142 800 + 74 800 OR 13 600 X 5	– 68 000 ✓✓*
Insurance – 48 000 + 52 500 OR 12 000 – 7 500 OR 12 000 x 3/8	+ 4 500 ✓✓*
TOTAL # one part correct, must include 258 200	223 500 ✓

7

do not mark workings

*if final figure correct; award 1 mark if sign is incorrect

3.3 PRODUCTION COST STATEMENT ON 29 FEBRUARY 2024

*workings in square brackets constitute one part, cannot be separated.

Mark one option only; inspect option that benefits the candidate.

Direct material cost [84 000 + 495 600] [84 000 + 739 600] 579 600 ✓ + 115 900 ✓✓ OR 823 600 – 128 100 one mark two marks	695 500 ✓*
Direct labour cost Balancing figure PC – DMC Must be DLC for this line	710 300 ✓
Prime cost	1 405 800
Factory overhead cost see 3.2	223 500 ✓
Total manufacturing cost Operation PC + FOH	1 629 300 ✓
Work-in-progress (1 March 2023)	30 700
	1 660 000
Work-in-progress (29 February 2024) Balancing figure accept a positive figure must be WIP for this item	(64 200) ✓
Cost of production of finished goods	1 595 800 ✓✓ Accuracy marks

10

*one part correct

HIKING JACKETS**3.7 Comment on the fixed cost per unit of hiking jackets and explain the major cause for the change in this unit cost.**

Be alert to the two explanations being combined in one response.
Part-marks for incomplete responses.

General explanation ✓ Figures and trend ✓

Although the fixed cost per unit increased (from R130) to R196,50 / by R66,50 / by 51,1%, the total fixed cost is relatively constant and well controlled; and fixed costs are not related to the level of production.

Explanation on major cause of dis-economies of scale ✓✓ figures are not necessary for this part

- A decrease in production (from 6 000 units to 4 000 units) contributed to the increase in the fixed cost per unit / Resulted in less units produced to carry the fixed cost i.e. dis-economies of scale.
- Inefficiency in manufacturing process due to equipment breakdowns or wastage of resources.

[Do not accept increase of R6 000 in total fixed cost for this question]

4

3.8 Identify the production cost of hiking jackets that should be of serious concern to Kyla.

Direct labour cost ✓ *[Do not accept any other alternatives for this question]*
DLC increased (from R110) to R175 / by R65 / by 59%. ✓

Provide TWO valid solutions to this problem.

Any TWO points ✓ ✓ Be alert to alternative valid responses

- Monitor overtime usage to identify area of concern / control overtime
- Monitor / better supervision of work during normal time
- Have back-up plans for load-shedding (disruptions)
- Set targets to be completed at regular intervals / performance incentives must be tied to productivity targets / pay according to units produced
- Training / cross-training of employees to perform multiple tasks
- Recruit skilled employees
- Adopt new technology (advanced machinery) to complete hiking jackets in less time / ensure greater accuracy and consistency

4

TOTAL MARKS	40
--------------------	-----------

QUESTION 4**4.1 DEBTORS' COLLECTION SCHEDULE**

MONTHS	CREDIT SALES	MAY	JUNE
MARCH	712 800	171 072	If superfluous entry, lose method on total
APRIL	792 000	356 400	190 080 ✓✓
MAY	871 200	206 910	392 040 ✓✓
JUNE	950 400	950 400 x [25% x 95%] OR 237 600 – 11 880	225 720 ✓✓✓
CASH FROM DEBTORS		734 382	807 840 ✓ one part correct

8

If figures have been shifted up, -1 for presentation

4.2 Calculate:

(i) Cash sales for June 2024	
WORKINGS	ANSWER
$950\,400 \checkmark \times 55/45 \checkmark \quad \text{OR} \quad (950\,400 \times 100/45)$ $2\,112\,000 \text{ one mark} \quad - \quad 950\,400 \text{ one mark}$	1 161 600 ✓ one part correct
(ii) Payments to creditors in June 2024	
WORKINGS	ANSWER
$(1\,936\,000 \times 100/160)$ $1\,210\,000 \checkmark \checkmark \times 70\% \checkmark \quad \text{OR} \quad (5\,500 \times 70\%)$ $3\,850 \text{ two marks} \times 220 \text{ one mark}$	847 000 ✓ one part correct
(iii) Hire of delivery vehicle expense for May 2024	
WORKINGS	ANSWER
$34\,810 \checkmark \times [100/118] \checkmark \quad \text{OR} \quad (34\,810 \times 18/118)$ $34\,810 \text{ one mark} - 5\,310 \text{ one mark}$	29 500 ✓ one part correct

3

4

3

4.3 Calculate: % increase in salaries of office workers from 1 June 2024

WORKINGS	ANSWER
$\frac{2\,480 \checkmark \checkmark}{62\,000} \times 100$ $\frac{64\,480 - 62\,000}{62\,000} \times 100$	4% ✓ one part correct % sign not necessary Must be x 100

4

4.4

Explain how the competitor affected the sales and cash flow of the business in April 2024. Provide TWO different points, with figures.

Be alert to the two explanations being combined in one response.

Part marks for incomplete answers

Any TWO valid responses ✓✓ ✓✓

- **Number of units** sold is 52 units (26%) less than budgeted / budgeted to sell 200 units, only sold 148 units
- **Total sales** are less than budgeted by R457 600 (26%) / budgeted for total sales of R1 760 000, actual was R1 302 400
- **Credit sales** is above by 35% / budgeted for 45% of total sales, actual is 70% of total sales / budgeted 90 units while actual was 104 units
- **Cash sales** is less than budgeted by 25% / budgeted cash sales was 55%, actual cash sales amounted to 30% of total sales / budgeted 110 units while actual was 44 units

Example of a complete response for 4 marks:

- Cash sales were R577 280 less than budget / budgeted R968 000 actual R390 720 / difference 59,6%. Credit sales is R119 680 more than budgeted / actual R911 680 while budget is R792 000 / difference 15,1% more

4

4.5

Explain whether Dan would be satisfied with the number of units sold in May 2024 as a result of his decision to adjust the selling price of the product. Provide TWO points, with figures.

TWO valid points (with figures) ✓✓ ✓✓

Yes / No must be implied in the figures given

part marks for incomplete / unclear responses

- Reducing the mark-up (from 60%) to 35% resulted in more units sold
- Number of units sold is more than budgeted by 25 units (from 220 to 245 / by 11,4%)
- Total sales budgeted amount of R1 936 000 is more than the actual of R1 819 125 / difference R116 875 / by (6%)
- Maintaining the higher level of credit sales at 70% of total sales still contributes to the cash-flow problem created in April 2024.

4

4.6

Dan is aware that not all salespersons would be satisfied with the decisions he has taken regarding their earnings. Salesperson John was satisfied whereas Sally was not. Provide ONE reason to support John's opinion and ONE reason to support Sally's opinion. Quote figures.

Yes / No must be implied in the figures given part marks for incomplete / unclear responses

REASON TO SUPPORT JOHN

ONE valid point (with figure) ✓✓

- Commission is budgeted at 15% of sales, they received 20% of actual sales.
- They expected average is R24 200 per person but received R45 478 each (R363 825/8).
- They received an average of R16 280 each in April 2024, compared to R45 478 in May 2024.
- Commission increased from R1 320 per unit to R1 485 per unit / by R165 per unit / by 12,5% per unit

REASON TO SUPPORT SALLY

ONE valid point (with figure) ✓✓

- Reducing the number of salespersons from 12 to 8 persons may have increased their workload.
- Sally may have been shifted to a new job which she must still learn losing on 15% commission / she has to settle for a fixed salary (which could be lower than the commission) / she might be worried about being retrenched (4 less salespersons).

4

4.7

Calculate the total loan amount including interest.

WORKINGS**ANSWER**

13 800 x 12 x 10

If deposit of R220 000 is added, ignore the figure
Award marks on R1 656 000 or on the R13 800 x 12 x 10

1 656 000 ✓✓
Accuracy marks

2

4.8

The owner is unsure about purchasing or renting the property. Explain ONE point in favour of purchasing the property and ONE point against this proposal.

Be alert to alternative valid responses Part marks for incomplete or unclear responses

IN FAVOUR OF PURCHASING THE PROPERTY

✓✓

- The owner would benefit from capital gains (due to appreciation of the value of the property).
- Property owner has tax benefit on returns (on value of property).
- It provides stability and control over property expenses / (can save on rent expenses) & rather pay off mortgage.
- The owner can borrow future loans against the value of the building as security for the loan.

AGAINST PURCHASING THE PROPERTY

✓✓

- Rent would be tax-deductible.
- Not responsible for repairs and maintenance.
- Avoid mortgage costs / municipal rates / transfer duties.
- It provides the flexibility to move to another place without any commitment of a long-term mortgage.
- He will not be directly affected by fluctuations in interest or real estate market / avoids the financial risk associated of being a property owner.

4

TOTAL MARKS**40****TOTAL: 150**